Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part h in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** The tax rate increases as income increases<br><br>A is not correct because this does not describe a characteristic of progressive taxation<br>B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive<br>D is not correct because progress taxation is not linked to GDP | **(1)** |

| Question Number | Which **one** of the following describes a fiscal surplus?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**D** Government revenue is greater than government expenditure<br><br>A is not correct because this describes current account surplus<br>B is not correct because this describes a current account deficit<br>C is not correct because this describes a fiscal deficit | **(1)** |

| Question Number | What is meant by the term income inequality?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>Differences in income **(1)** between different groups of earners **(1)**<br><br>**OR**<br><br>The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part h in this mark scheme extract

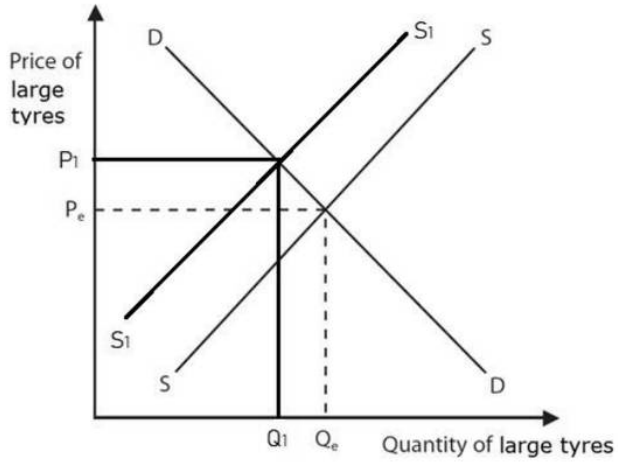
| Question Number | Describe **one** role of the World Trade Organization (WTO). **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the role and 1 mark for development of the role<br><br>It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer** | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>$\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)**<br><br>**OR**<br><br>$\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 5.88% **(1)**<br><br>Award 2 marks if the correct answer is 5.88% even if no calculations are shown<br><br>Award 1 mark if the answer given is 5.88 even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part h in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of supply curve, labelled<br>Award 1 mark for a higher equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part h in this mark scheme extract

| Question Number | Explain **one** advantage of free trade for businesses in Ecuador.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)**<br><br>• One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany.<br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Consumer confidence is an economic indicator that gauges consumers' perception of the economy<br>• High rates of inflation could reduce confidence in Germany<br>• Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards<br>• This is because they cannot afford to purchase the same amount of goods and services<br>• Consumer confidence will fall and may make them more cautious and less willing to borrow money<br>• Savings may increase to safeguard against the future<br>• High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part h in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 1 of 19 · Question 1 part h · 6 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part h in this mark scheme extract

| Question Number | What is the main reason for a government to devalue its currency?<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>**A** an invisible import | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>**D** Value added tax | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a way<br>Award 1 mark for developing the way<br>Award 1 mark for the response being in context<br><br>• Through progressive taxation **(1)**, higher income earners pay a larger proportion of their income in tax **(1)**. The government can redistribute this to lower income earners in the country reducing inequality and poverty **(1)**<br><br>• Through government investment in education **(1)**, human capital can be improved **(1).** This may result in a person being able to get a job in the future reducing inequality and poverty **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The level of consumer confidence will be an important factor that determines the willingness of consumers to spend, borrow and save<br>• Inflation reduces purchasing power for consumers<br>• High rates of inflation such as 25% in Argentina will result in consumers experiencing a fall in living standards as they cannot afford to purchase the same amount of goods and services<br>• High rates of inflation make it difficult for consumers to know what they can afford or how much they need for purchases such as cars<br>• High rates of inflation may discourage consumers from saving as they expect the value to decrease<br>• Consumers are more likely to demand higher wages to keep up with inflation | **(6)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Unemployment occurs when people of working age who are both willing and able to work cannot find a job<br>• High levels of unemployment such as 27.7% will result in lower GDP as a large part of the workforce will be unproductive<br>• There will be a much greater burden on the government to provide benefits to the unemployed<br>• At the same time tax revenues will be lower meaning less is available to spend elsewhere<br>• The government may have to provide more education and training schemes, especially for young people as 60.3% of young people have never had a job<br>• There may be an increase in poverty within the country as unemployed workers have no income apart from benefits from the South African government<br><br>**AO4**<br>• However, high rates of unemployment may help some firms compete<br>• Some firms within South Africa may find it easier to recruit from a larger pool of workers due to the 27.7% unemployment rate<br>• Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands<br>• The overall impact will depend upon the type of unemployment, the duration and the state of the economy in South Africa | **(9)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 2 of 19 · Question 3 part d · 6 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 3 of 19 · Question 3 part e · 9 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>**A** Trade in goods | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>**B** Dumping | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a method of government intervention.<br>Award 1 mark for developing the method.<br>Award 1 mark for the response being in context.<br><br>• Use of taxation **(1)** A tax on polluting goods such as cars increases the cost to the consumer **(1)** There should be a reduction in car use and less pollution created **(1)**<br><br>• Use of subsidies **(1)** The government could subsidise the manufacture of solar panels **(1)** This encourages consumers to switch to renewable energy reducing pollution from fossil fuels **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 3 of 19 · Question 3 part e · 9 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Unemployment represents a loss of output and therefore less GDP for a country<br>• This could reduce standards of living for the population and increase poverty in the long run<br>• The government will receive less tax revenue as there will be fewer workers in employment paying direct and indirect taxes<br>• The government will have to pay out more in unemployment benefits to support the unemployed person whilst they are looking for a job<br>• There is great pressure on the unemployed person as unemployment can cause social problems such as stress and health-related problems | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 3 of 19 · Question 3 part e · 9 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Inflation is the rate at which the general level of prices for goods and services is rising within an economy<br>• This may make goods and services too expensive for many people and they cannot afford as much as they used to<br>• The data shows the price of transportation and food has increased by 16.79% and 12.74%, which reduces the purchasing power of consumers if wages do not keep up with inflation<br>• Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the high rates of inflation<br>• Investment is likely to fall as firms lose confidence<br><br>**AO4**<br>• Inflation may not be a problem if wage increases keep up with inflation<br>• Demand pull inflation may lead to a fall in unemployment as firms try to cope with rising demand<br>• Although high rates of inflation are bad for an economy, low rates of inflation can also have disadvantages to an economy<br>• Figure 3 shows the inflation rate fluctuates over the period of time and much will depend on future fluctuations | **(9)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 3 of 19 · Question 3 part e · 9 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 3 of 19 · Question 3 part e · 9 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 4 of 19 · Question 1 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>**B** Inflation rate | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>**C** privatisation | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment<br><br>A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**.<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods<br><br>The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**.<br><br>Accept any other appropriate response. | **(2)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 4 of 19 · Question 1 part d · 2 marks

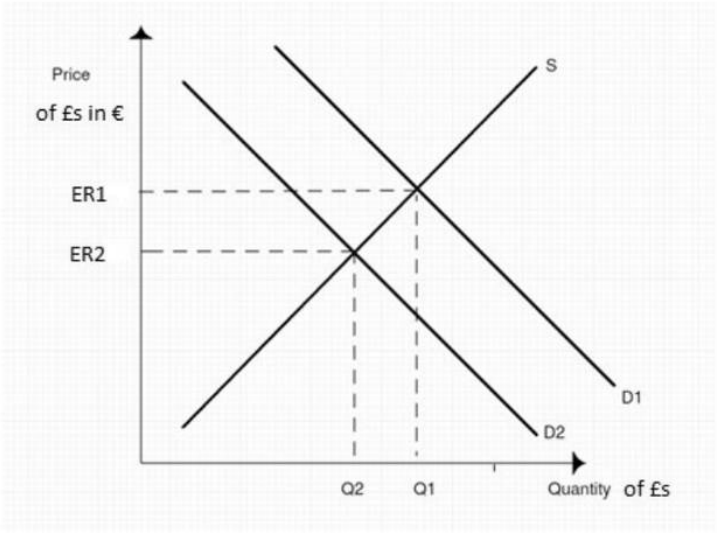
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>150 000 x 70.66 INR **(1)**<br><br>Award 1 mark for the correct answer.<br><br>= 10 599 000 INR **(1)**<br><br>Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown.<br><br>Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown.<br><br>Do not award marks for the formula. | **(2)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 4 of 19 · Question 1 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 4 of 19 · Question 1 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).**<br><br>• One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).**<br><br>Accept any other appropriate response. | **(3)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 4 of 19 · Question 1 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

| Question Number | Indicative content |
|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Direct taxes are government charges imposed on income and wealth<br>• Lowering direct taxes such as income tax rates will result in employees keeping more take home pay<br>• This increases disposable income from employment and gives an incentive to work rather than live on benefits<br>• Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam<br>• With greater disposable income being spent within the Vietnamese economy, output and employment may increase |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 4 of 19 · Question 1 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 5 of 19 · Question 3 part c · 3 marks

2020 JAN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>**B** government revenue is greater than government expenditure | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>**A** appreciation | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is for business/consumer confidence **(1).** If prices of goods and services are stable at 3% **(1)** this can help consumers/firms plan for their future spending **(1).**<br><br>• One reason is to keep Cyprus internationally competitive **(1).** This may lead to higher export sales if competitors have higher than 3% inflation **(1),** thus reducing unemployment **(1).**<br><br>Accept any other appropriate response. | **(3)** |

# Type MS · Effects of inflation and deflation, including menu and shoe leather costs

## Answer 5 of 19 · Question 3 part c · 3 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

| Question Number | Indicative content | |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Changes in the interest rates in South Africa will affect whether people will want to deposit money in South Africa<br>• If South Africa has higher interest rates relative to other countries it will become more attractive to deposit money in South Africa<br>• This is often referred to as hot money<br>• Savers will get a better rate of return from saving in South African banks – now 6.75%<br>• Therefore demand for the South African Rand will rise causing an appreciation of the currency | |
| **Level** | **Mark** | **Descriptor** |
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 5 of 19 · Question 3 part c · 3 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

| Question Number | Indicative content |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Business tax is a direct tax on the profit of a firm<br>• Cuts in business taxes can help provide a firm with additional funds to expand its factors of production<br>• Lower business taxes can also provide an incentive to firms to increase investment thereby increasing output<br>• This is likely to result in increasing GDP and employment<br>• The US has already lowered business taxes from 35% to 21% and has plans to reduce this further to 15%<br>• This could result in firms setting up in the US rather than other countries such as Mexico who have a business tax of 30% thereby increasing productive capacity and total output from the increased investment<br><br>**AO4**<br>• However, MNCs might be attracted to countries in Figure 3 such as Canada and Ireland which have lower business taxes compared to the US<br>• Lowering business taxes by such a large percent may result in less tax revenue for the US government rather than any increase in investment if firms do not locate in the US<br>• Less government revenue may result in less government investment<br>• There is no guarantee that firms will reinvest the additional capital into expansion and could just give the saving in taxes to shareholders in the form of dividends |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 5 of 19 · Question 3 part c · 3 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 5 of 19 · Question 3 part c · 3 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 6 of 19 · Question 1 part g · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>C Voluntary | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>D Recovery | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to monetary authority and 1 mark for reference to its functions<br><br>The monetary authority that manages a country's money supply **(1)** and interest rates/banking system **(1)**<br><br>Accept any other appropriate response | **(2)** |

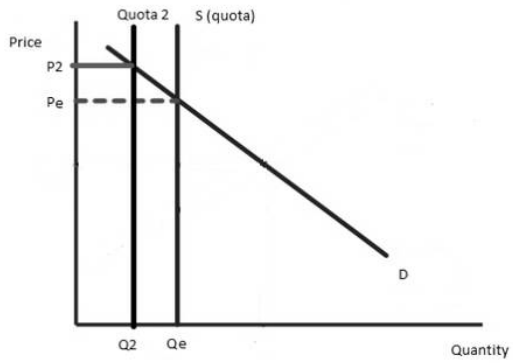
| Question Number | **Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference harming domestic businesses and 1 mark for reference to competition from foreign businesses<br><br>Domestic businesses can go out of business **(1)** if products from foreign businesses are better/cheaper **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 6 of 19 · Question 1 part g · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(e) | **A02 2 marks**<br><br>Award 1 mark for showing the calculation<br>21 000 – (1 500 x 20%) **(1)**<br><br>Award 1 mark for the correct answer<br>= €20 700 **(1)**<br><br>Award 2 marks if the correct answer €20 700 is shown, with € sign, even if no calculations are shown<br><br>Award 1 mark if correct answer 20 700 is shown, but with no € sign, even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of perfectly inelastic supply curve, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 6 of 19 · Question 1 part g · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• The impact is that wages do not buy the same amount of goods **(1)** this is because prices are rising at a faster rate than wages **(1).** To prevent this wages need to rise such as the recent increase in Mexico **(1)**<br><br>• The impact might be limited **(1)** if wages for some workers in Mexico are linked to inflation **(1).** This means that the standard of living remains the same if wages are keeping up with inflation **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| 1(h) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Trade blocs are usually groups of countries in specific regions that manage and promote trade activities<br>• This can result in more free trade between member countries<br>• This can benefit member countries in the AfCFTA because they have access to a wider market which will consist of 1.2bn people<br>• GDP for the trade bloc is expected to be $2.5 trillion.<br>• Firms in the trade bloc may be able to exploit economies of scale or specialisation can occur<br>• Prices may be cheaper due to a reduction of tariffs and quotas<br>• Consumers may benefit with lower prices and/or greater choice of goods and services<br>• Being a member of the AfCFTA trade bloc may attract increased FDI | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 6 of 19 · Question 1 part g · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 6 of 19 · Question 1 part g · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 7 of 19 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 1 of 4 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 2 marks for calculating the interest on savings<br><br>(¥8 000 ÷ 100) × 2.25 **(1)** = ¥180 **(1)**<br><br>Award 2 marks for the correct answer of ¥180 is accurately calculated with no workings shown<br><br>Award 1 mark if the answer given is 180 with or without calculations shown<br><br>Do not award marks for the formula | **(2)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 7 of 19 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 2 of 4 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the impact of inflation on individuals in a country such as China. Indicative content |
|---|---|
| **4(b)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Inflation is the rate at which the general level of prices for goods and services is rising within an economy<br>• The current inflation rate is 2.8%, an increase on the previous month, which reduces the purchasing power of consumers if wages do not keep up with inflation<br>• This may make goods and services too expensive for many people<br>• Many individuals might not be able to afford as much as they used to<br>• Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the increase in the rate of inflation |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 7 of 19 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 3 of 4 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in controlling inflation in a country such as China.<br>Indicative content |
|---|---|
| **4(c)** | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br><br>• Monetary policy is the use of interest rates and control of the money supply to manage demand in the economy<br>• Monetary policy can be used to reduce inflationary pressures in China by the PBOC increasing interest rates<br>• An increase in interest rates tends to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure<br>• There might be a greater reward for saving which may discourage consumers from spending helping to reduce demand in the economy<br>• A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reduced inflation<br><br>**AO4**<br><br>• However, there can be time lags for the increase in interest rates to filter through the Chinese economy<br>• Increasing interest rates may raise the cost of production for firms which may have an even greater negative impact on prices<br>• The effectiveness will depend upon the type of inflation China is experiencing which seems to be cost push inflation due to the increases in the price of meat and fresh fruit<br>• Demand is not totally dependent on interest rates and there are other factors that have an impact on inflation<br>• Monetary policy can therefore conflict with economic growth and employment<br>• There are other ways in which the Chinese Government could try and control inflation including supply-side policies<br>• These could help to reduce inflationary pressures by helping the Chinese economy to produce more goods and services at all price levels |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 7 of 19 · Question 4 part b · 6 marks

2021 JUN · Paper 02 · extract 4 of 4 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| **Level 2** | 5–8 | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| **Level 3** | 9–12 | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |

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Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** The costs of searching for cheaper suppliers when inflation is high<br><br>A is not correct because these are variable costs<br>B is not correct because these are input costs<br>D is not correct because these are menu costs | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Higher quality of domestic goods<br><br>A is not correct because this would increase imports and reduce a surplus<br>B is not correct because this would reduce the demand for exports and reduce a surplus<br>C is not correct because it is would make imports cheaper and reduce a surplus | **(1)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a in this mark scheme extract

| Question Number | Explain one possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to protect domestic firms **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers may gain more market share **(1)**<br><br>• One reason is higher revenue for domestic producers **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers might be able to increase supply to meet any shortages **(1)**<br><br>Accept any other appropriate response. | **(3)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a in this mark scheme extract

| Question Number | Analyse the impact of deflation on consumer confidence in a country such as Singapore.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Deflation is a persistent fall in the general price level of goods and services/ when the inflation rate is negative<br>• Consumer confidence is the outlook that consumers have towards the economy<br>• In the case of Singapore, the prices of airfares and holidays have declined due to the government lockdown as people cannot travel and demand has fallen sharply<br>• Changes in prices of goods and services often cause uncertainty and may influence the confidence of consumers<br>• Changes in prices might make consumers more anxious and cautious<br>• This results in a fall in consumer confidence as consumers worry about the state of the economy<br>• In times of deflation consumers will postpone spending particularly on consumer durables such as holidays and cars<br>• This is because consumers expect prices to fall even further or wait until the economy improves before buying goods | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a in this mark scheme extract

| Question Number | Assess the advantages of using benefit payments to redistribute income in a country such as the UK.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Benefit payments are payments given to people to ensure they have a minimum standard of living<br>• These include benefits such as Universal Credit<br>• Universal Credit involves giving money directly to people on no or low incomes<br>• For example, people aged 25 and under can receive £342.72 and this can be used to pay for living costs<br>• This will give those on low incomes a better living standard and the ability to be able to purchase basic necessities<br>• Benefits can help to contribute to a more cohesive society and reduce inequality within a society by redistributing income<br>• Benefit payments can help to reduce relative poverty in the UK<br><br>**AO4**<br>• However, using benefit payments may create a disincentive to work<br>• Many families may face the poverty trap and are often better off on benefit payments than working<br>• The cost of the benefit payments has to be borne by society so there is often an opportunity cost to a country from using benefit payments to redistribute income<br>• There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education<br>• The UK Government should use a combination of methods to reduce inequality and poverty | **(9)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 8 of 19 · Question 3 part a · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a in this mark scheme extract

| Question Number | Calculate, to two decimal places, the percentage increase in GDP per capita between 2018 and 2019.<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** The costs of searching for cheaper suppliers when inflation is high<br><br>A is not correct because these are variable costs<br>B is not correct because these are input costs<br>D is not correct because these are menu costs | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Higher quality of domestic goods<br><br>A is not correct because this would increase imports and reduce a surplus<br>B is not correct because this would reduce the demand for exports and reduce a surplus<br>C is not correct because it is would make imports cheaper and reduce a surplus | **(1)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

| Question Number | Explain one possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour.<br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to protect domestic firms **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers may gain more market share **(1)**<br><br>• One reason is higher revenue for domestic producers **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers might be able to increase supply to meet any shortages **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

| Question Number | Analyse the impact of deflation on consumer confidence in a country such as Singapore.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Deflation is a persistent fall in the general price level of goods and services/ when the inflation rate is negative<br>• Consumer confidence is the outlook that consumers have towards the economy<br>• In the case of Singapore, the prices of airfares and holidays have declined due to the government lockdown as people cannot travel and demand has fallen sharply<br>• Changes in prices of goods and services often cause uncertainty and may influence the confidence of consumers<br>• Changes in prices might make consumers more anxious and cautious<br>• This results in a fall in consumer confidence as consumers worry about the state of the economy<br>• In times of deflation consumers will postpone spending particularly on consumer durables such as holidays and cars<br>• This is because consumers expect prices to fall even further or wait until the economy improves before buying goods | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

| Question Number | Assess the advantages of using benefit payments to redistribute income in a country such as the UK.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Benefit payments are payments given to people to ensure they have a minimum standard of living<br>• These include benefits such as Universal Credit<br>• Universal Credit involves giving money directly to people on no or low incomes<br>• For example, people aged 25 and under can receive £342.72 and this can be used to pay for living costs<br>• This will give those on low incomes a better living standard and the ability to be able to purchase basic necessities<br>• Benefits can help to contribute to a more cohesive society and reduce inequality within a society by redistributing income<br>• Benefit payments can help to reduce relative poverty in the UK<br><br>**AO4**<br>• However, using benefit payments may create a disincentive to work<br>• Many families may face the poverty trap and are often better off on benefit payments than working<br>• The cost of the benefit payments has to be borne by society so there is often an opportunity cost to a country from using benefit payments to redistribute income<br>• There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education<br>• The UK Government should use a combination of methods to reduce inequality and poverty | **(9)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 9 of 19 · Question 3 part d · 6 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

| Question Number | Calculate, to two decimal places, the percentage increase in GDP per capita between 2018 and 2019.<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 10 of 19 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** integration and interdependence of national economies<br><br>A is not correct because globalisation encourages trade and specialisation<br>B is not correct because trade barriers should be reduced<br>C is not correct because increased globalisation reduces the need for national legislation | **(1)** |

| Question Number | **Answer** | Mark |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** An increase in environmental damage<br><br>A is not correct because unemployment should fall due to more jobs being available in the economy<br>C is not correct because investment is likely to increase due to economic growth and firms expanding<br>D is not correct because tax revenues are likely to rise as more people have jobs/ firms are making more profit | **(1)** |

| Question Number | State one type of unemployment.<br>**Answer** | Mark |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for **one** type.<br><br>• cyclical<br>• structural<br>• seasonal<br>• voluntary<br>• frictional<br><br>Accept any other appropriate responses. | **(1)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 10 of 19 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

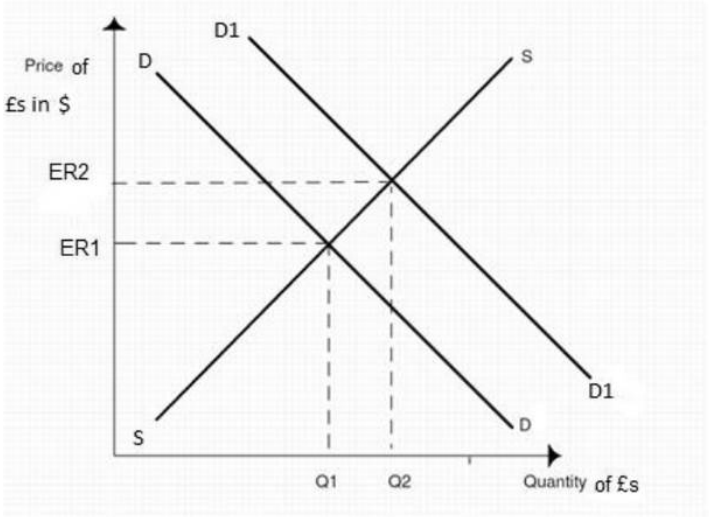
| Question Number | What is meant by the term recovery? **Answer** | Mark |
|---|---|---|
| **2(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the economic cycle/recession and 1 mark for reference to increase in economic activity<br><br>A phase in the economic cycle **(1)** where GDP starts to rise again/when consumers start to regain confidence/economic activity is on the increase **(1)**<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | Explain one impact of rising inflation on shoe leather costs for Nigeria. **Answer** | Mark |
|---|---|---|
| **2(e)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• One impact is that shoe leather costs may increase **(1).** Consumers will try to find cheaper bread and meat **(1).** This means that they will spend more time shopping around and looking for goods **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 10 of 19 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

| Question Number | Draw the effects on the exchange rate of the UK pound (£) from an increase in exports to the US. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **2(f)** | **AO2 3 marks**<br><br>Award 1 mark for right shift of demand curve, labelled<br>Award 1 mark for higher equilibrium exchange rate, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 10 of 19 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

| Question Number | Assess the advantages of free trade to firms located within the EU. **Indicative content** | Mark |
|---|---|---|
| **2(g)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed<br>• The new free trade area consists of over 770 million people and trades over €88bn in goods and €34bn in services every year<br>• Firms located within the EU would be able to access a much wider market for its goods and services thereby increasing sales<br>• Mercosur is removing tariffs on 91% of EU goods on items such as clothing, wine, chemicals and canned peaches<br>• This means that any EU firm operating in these areas will be able to export to the Mercosur area without additional tariffs and could increase revenues<br>• Expansion into a new trading bloc could help to reduce risk for EU firms if demand falls within the EU<br><br>**AO4**<br>• However, free trade also means that EU firms will face greater competition from firms within the Mercosur area<br>• EU firms may have increased competition from cheaper, low-cost firms within the Mercosur area that may have lower wage costs compared to EU firms<br>• The EU has agreed to end 92% of tariffs on goods from the Mercosur area<br>• This may have a negative impact on EU farmers particularly those involved in the production of beef, sugar and chicken<br>• The overall impact will depend on the quality and price of the products made within the EU compared to the products made in the Mercosur area | **(9)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 10 of 19 · Question 2 part e · 3 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

| Question Number | **Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**B** Unemployment<br><br>A is not correct because this is measured by a % change in GDP<br>C is not correct because this is decided by the government<br>D is not correct because this is measured by the CPI | **(1)** |

| Question Number | Which **one** of the following is considered to be a progressive tax in the UK?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Income tax<br><br>B is not correct because this is an indirect tax/regressive tax<br>C is not correct because these are taxes on individual items<br>D is not correct because a set percentage is paid | **(1)** |

| Question Number | What is meant by the term deregulation?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to removal and 1 mark for reference to government controls<br><br>The removal **(1)** of government controls **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

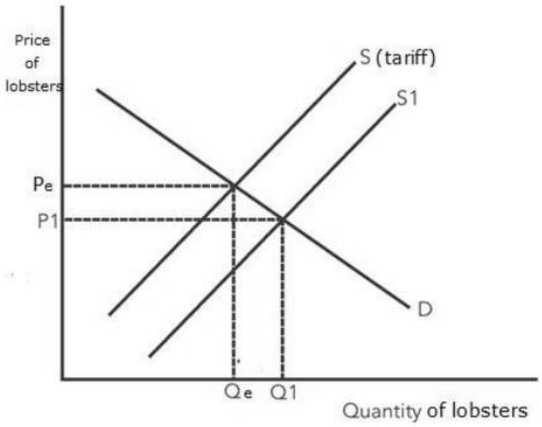
| Question Number | Describe **one** negative impact of economic growth.<br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to environmental damage and 1 mark for reference to economic activity<br><br>Environmental damage **(1)** caused by factories making more goods/services **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br>£15 000 x €1.10 **(1)**<br><br>Award 1 mark for the correct answer<br>= €16 500 **(1)**<br><br>Award 2 marks if the correct answer €16 500 is shown, with € sign, even if no calculations are shown<br><br>Award 1 mark if correct answer 16 500 is shown, but with no € sign, with or without calculations<br><br>Do not award marks for the formula | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of supply, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

| Question Number | Explain the impact of wages rising faster than inflation on a country such as Mexico.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant impact<br>Award 1 mark for developing the impact<br>Award 1 mark for the response being in context<br><br>• The impact is that wages can buy more goods/services **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1).** This could result in increased pressure on the rate of inflation **(1)**<br><br>• The impact is that firms could see fewer wage demands **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1)**. Employees would be less likely to require higher wages to maintain standards of living **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

| Question Number | Analyse the impact of education and training on the productive potential of a country such as Vietnam.<br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Education and training are examples of supply-side policies designed to improve the productive potential of an economy<br>• Investment in education and training in IT can help unemployed workers to acquire new skills so they can gain employment<br>• Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills<br>• Offering training courses in IT could help to reduce structural unemployment within Vietnam<br>• A better educated and trained workforce could enable Vietnam to produce more goods and services using IT skills thus increasing the productive potential of the country | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 11 of 19 · Question 1 part g · 3 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

| Question Number | Which type of unemployment would result from the permanent closure of a coal mine?<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 12 of 19 · Question 1 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

| Number | Answer | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** reprinting brochures when prices change<br><br>A is not correct because these are shoe leather costs<br>B is not correct because these are labour costs<br>C is not correct because these are fixed costs | **(1)** |

| Question Number | Which one of the following is likely to cause demand pull inflation?<br>Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** An increase in the consumption of goods<br><br>A is not correct because this is likely to result in cost push inflation<br>B is not correct because this is likely to result in lower inflationary pressures<br>D is not correct because this is likely to result in less consumer spending in the economy | **(1)** |

| Question Number | What is meant by the term imports?<br>Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to purchase of goods and 1 mark for reference to being from another country<br><br>The purchase of goods or services **(1)** from another country **(1)**<br><br>Accept any other appropriate response | **(2)** |

4

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 12 of 19 · Question 1 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | Describe the impact on the demand for a currency after an increase in interest rates.<br>Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference an increase in demand and 1 mark for reference to investing savings/ rise in exchange rate<br><br>There is likely to be an increase in demand for the currency **(1)** because foreign savers choose to put their savings in the bank with the higher rate of interest **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Using the data in Figure 1, calculate in CAD$bn, the current account for Canada for the year ending 2020.<br>Answer | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br>CAD$524bn - CAD$561bn **(1)**<br><br>Award 1 mark for the correct answer<br>= -CAD$37bn **(1)**<br><br>Award 2 marks if the correct answer of -CAD$37bn is shown even if no calculations are shown<br><br>Award 1 mark if -37bn is shown, but with no CAD$ sign, with or without calculations shown<br><br>Do not award marks for formula | **(2)** |

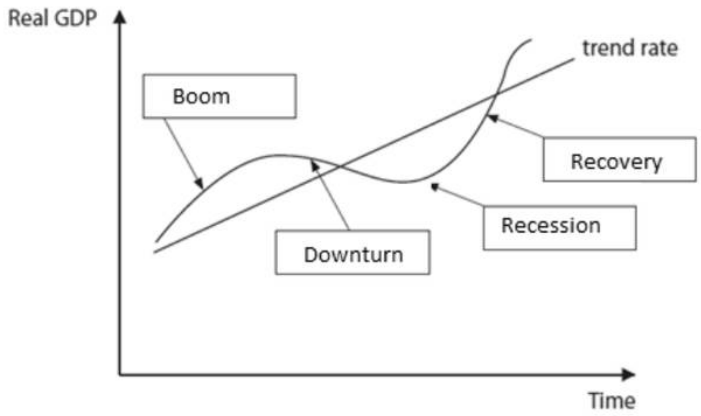


Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 12 of 19 · Question 1 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | Label the boxes in the diagram below with the three remaining stages of the economic cycle.<br>Answer | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for downturn, labelled correctly<br>Award 1 mark for recession, labelled correctly<br>Award 1 mark for recovery, labelled correctly<br><br>  <br> | **(3)** |

| Question Number | Explain **one** reason why the Scottish Government gives benefit payments.<br>Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is to reduce inequality and poverty **(1).** Benefit payments help to assist with meeting basic needs such as heating a home **(1)**. Therefore, more people will be able to have a better standard of living **(1)**<br><br>Accept any other appropriate response | **(3)** |



Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 12 of 19 · Question 1 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore.<br>Indicative content | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• GDP is the market value of all final goods and services produced in a year<br>• Increases in inflation could distort the true rate of economic growth in Singapore and only real GDP figures reflect the true rate of economic growth in an economy<br>• GDP does not include figures for the hidden or informal economy as they are not included in GDP figures<br>• GDP does not take into account population changes in Singapore<br>• GDP does not take into account external costs such as environmental costs<br>• As a result GDP does not measure how environmental costs might impact on the wellbeing of society<br>• GDP figures such as 7.2% do not reflect how additional income is distributed between the population of Singapore<br>• The growth may not be evenly distributed amongst the population of Singapore who still may remain in relative poverty | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

7

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 12 of 19 · Question 1 part a · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | When a central bank buys government bonds from commercial banks it is known as<br>Answer | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 13 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 · extract 1 of 5 · find part g in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 marks**<br><br>The only correct answer is:<br>**B** GDP starts to rise and economic activity is on the increase<br><br>A is not correct because this describes a boom<br>C is not correct because this describes a downturn<br>D is not correct because this describes a recession | **(1)** |

| Question Number | Which **one** of the following is an example of frictional unemployment?<br>Answer | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Workers are unemployed whilst waiting to start a new job<br><br>A is not correct because this is an example of cyclical unemployment<br>C is not correct because this is an example of seasonal unemployment<br>D is not correct because this is an example of structural unemployment | **(1)** |

| Question Number | What is meant by the term exports?<br>Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to goods and 1 mark for reference to being sent to another country<br><br>The sale of goods or services **(1)** to another country **(1)**<br><br>Accept any other appropriate response. | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 13 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

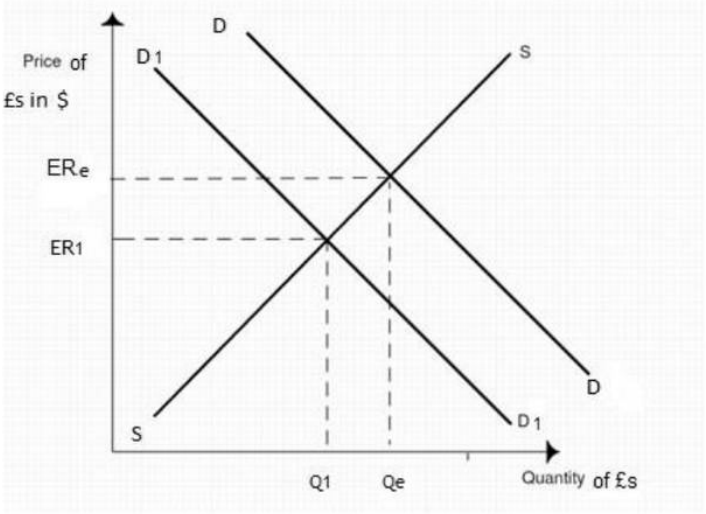
| Question Number | What is meant by the term globalisation?<br>Answer | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to interconnection and 1 mark for reference to world's economies<br><br>Growing interconnection **(1)** of the world's economies **(1)**<br><br>Accept any other appropriate response. | **(2)** |

| Question Number | Calculate how much the **average price level** increased between 2018 and 2021. You are advised to show your working.<br>Answer | Mark |
|---|---|---|
| **1(e)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation<br><br>105.4 - 100 **(1)**<br><br>Award 1 mark for the correct answer<br><br>= 5.4% **(1)**<br><br>Award 2 marks if the correct answer 5.4% is shown, with percentage sign, even if no calculations are shown<br><br>Award 1 mark if the answer given is 5.4, but with no percentage sign, with or without calculations shown<br><br>Do not award marks for the formula. | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 13 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of a decrease in UK exports to the US on the equilibrium exchange rate of UK pounds (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.<br>Answer | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand curve, labelled<br>Award 1 mark for lower equilibrium exchange rate, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question Number | Explain one effect of rising inflation on menu costs in the UK.<br>Answer | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant effect<br>Award 1 mark for developing the effect<br>Award 1 mark for the response being in context<br><br>• One effect is that menu costs may increase **(1).** When inflation is high, prices need changing frequently **(1).** Firms have to spend money to print new brochures/update websites with the higher prices **(1)**<br><br>Accept any other appropriate response. | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 13 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

| Question Number | Analyse the possible benefits for Columbia of having import quotas.<br>Indicative content | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Quotas are physical limits on the quantity of imports allowed into a country<br>• Quotas on rice might help to protect domestic rice farmers<br>• By restricting the amount of rice imported into Columbia domestic rice farmers may gain more market share<br>• This could result in higher revenues for domestic rice farmers<br>• Rice is a staple food in Columbia therefore is of national importance<br>• Therefore, domestic rice farmers might be able to increase the supply of rice to meet any shortages if imports are restricted by quotas | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 13 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

| Question Number | Fiscal policy would involve a change in which **one** of the following?<br>Answer | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

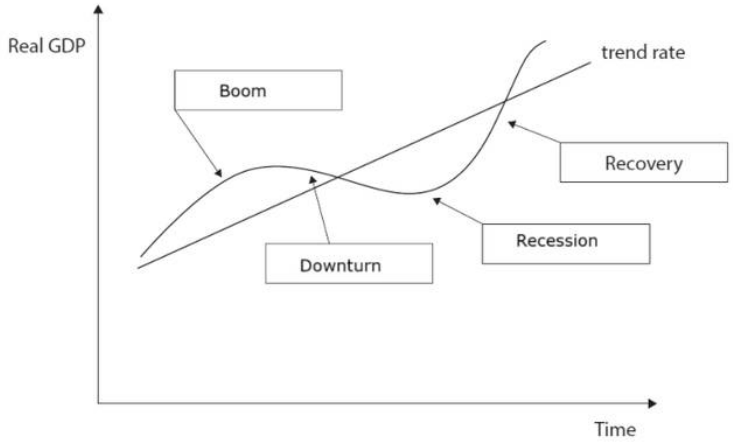
| Number | Answer | |
|---|---|---|
| 3(a) | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** €100bn surplus<br><br>A is not correct because this is calculated by adding the figures together and assumes a deficit<br>B is not correct because this is €700bn-€800bn<br>C is not correct because this is €800bn + €700bn | **(1)** |

| Question Number | Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?<br>**Answer** | Mark |
|---|---|---|
| 3(b) | **AO2 1 mark**<br><br>The only correct answer is:<br>**B** The cost of updates to the website due to higher prices for shoes<br><br>A is not correct because this is a cost of production<br>C is not correct because this describes shoe leather costs<br>D is not correct because this is a cost of shopping online | **(1)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

| Question Number | Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for Boom, labelled<br>Award 1 mark for Downturn, labelled<br>Award 1 mark for Recession/Slump/Depression, labelled<br><br>  <br> | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.<br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Globalisation has opened new markets for producers to sell their goods and services to<br>• This has created new opportunities for clothing producers in China and Bangladesh to expand their customer base and increase their sales revenue<br>• It has enabled clothing producers to use cheaper labour and raw materials in China and Bangladesh<br>• This has led to a reduction in production costs for clothing which has increased profitability for producers<br>• Globalisation has enabled clothing producers to benefit from economies of scale<br>• As production volumes of clothing increase the cost per unit decreases which can lead to lower prices for consumers and increased profits for the producers<br>• Reduced costs of communication have occurred as technology has enabled producers to easily trade with other firms in the clothing supply chain | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres.<br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A tariff is a tax on imported goods and services<br>• The 16% tariff may have been introduced to protect the domestic tyre industry from foreign competition<br>• By making imported tyres more expensive the tariff can make domestic tyres more competitive and help to support jobs in the domestic industry<br>• The tariff may have been introduced to address trade imbalances<br>• Brazil may be running a trade deficit therefore by increasing the cost of imports, the tariff can help to reduce imports<br>• The 16% tariff may be to generate government revenue. The revenue generated from the tariff can be used to fund public services or pay off government debt<br><br>**AO4**<br>• However, tariffs can reduce competition in the tyre market as Brazilian producers have less incentive to improve quality and lower prices<br>• This could lead to lower quality tyres being produced domestically and less innovation in the market<br>• Other countries may respond to the tariff by imposing their own tariffs on Brazilian goods, leading to a trade war that could harm both countries' economies<br>• This could lead to a decrease in the overall volume of trade and a reduction in economic growth<br>• A tariff on imported tyres would likely result in higher prices for consumers<br>• As the cost of imported tyres increases Brazilian tyre producers may also increase their prices leading to higher prices for all types of tyres | **(9)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 14 of 19 · Question 3 part b · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

| Question Number | Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part h in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** For basic needs to be met<br><br>A is not correct because it is not a legal requirement for a government to do this<br>B is not correct because this will increase inequality<br>D is not correct because this will increase poverty | **(1)** |

| Question Number | Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?<br>**Answer** | Mark |
|---|---|---|
| **1(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** It is easy to compare economic growth between countries<br><br>A is not correct because it does not measure how economic growth is distributed amongst the population<br>B is not correct because it does not take into account all economic activity<br>C is not correct because it does not take into account inflation | **(1)** |

| Question Number | What is meant by the term deflation?<br>**Answer** | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 2 marks for a correct definition<br><br>A reduction **(1)** in the general level of prices for goods and services **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part h in this mark scheme extract

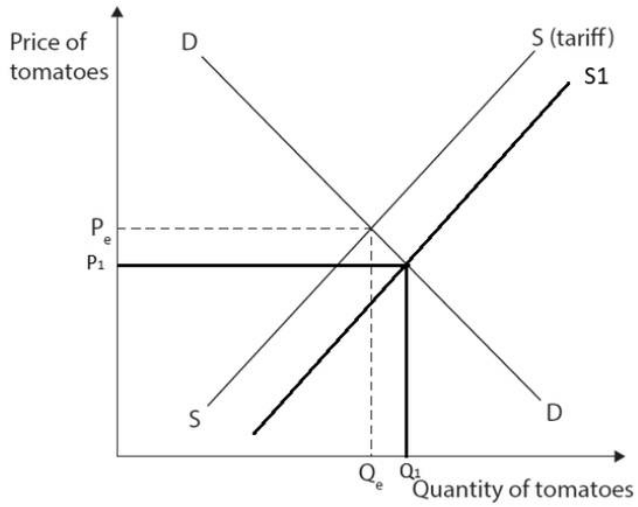
| Question Number | Describe the impact of a reduction in the cost of communication on globalisation.<br>**Answer** | Mark |
|---|---|---|
| **1(d)** | **AO1 2 marks**<br><br>Award 1 mark for reference to the impact and 1 mark for the development of the impact<br><br>One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question Number | Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| **1(e)** | **A02 2 marks**<br><br>Award 1 mark for export of services – import of services<br><br>$26bn - $16bn **(1)**<br><br>Award 1 mark for the correct answer<br><br>= $10bn **(1)**<br><br>Award 2 marks if the correct answer is $10bn even if no calculations are shown<br><br>Award 1 mark if the answer given is 10 even if no calculations are shown<br><br>Do not award marks for the formula. | **(2)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part h in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br>**Answer** | Mark |
|---|---|---|
| **1(f)** | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of the supply curve, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  <br><br>**Figure 2** | **(3)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part h in this mark scheme extract

| Question Number | Explain **one** reason why governments use fines.<br>**Answer** | Mark |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)**<br><br>• One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1(h)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production<br>• Higher production costs can lead to lower profits for firms in Türkiye<br>• This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence<br>• When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence<br>• Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty<br>• This uncertainty can erode business confidence as firms are unsure about the future success of their operations | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part h in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 15 of 19 · Question 1 part h · 6 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part h in this mark scheme extract

| Question Number | Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system?<br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Access to a larger market within the bloc<br><br>A is not correct because there is generally the reduction or elimination of tariffs among member countries<br>B is not correct because delivery times might be faster with more integration within the trading bloc<br>C is not correct because members can trade with any country outside of the trading bloc | **(1)** |

| Question Number | What is the **visible trade balance** in $bn for the country?<br><br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>B $60bn<br><br>A is not correct because this is $80bn- $50bn<br>C is not correct because this is ($300bn + $80bn) - ($240bn + $50bn)<br>D is not correct because this is $300bn−$50bn | **(1)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

| Question Number | Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.<br><br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant disadvantage<br>Award 1 mark for developing the disadvantage<br>Award 1 mark for the response being in context<br><br>• One disadvantage is a fiscal deficit can lead to a higher national debt. **(1)** The US Government will have to pay more in interest on the debt **(1)** therefore leaving less available for public services such as education/healthcare **(1)**<br><br>• One disadvantage is that taxes might increase to cover the debt. **(1)** Increasing taxes can reduce disposable income for households and firms. **(1)** This reduction in spending and investment can slow down economic growth **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question Number | With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on shoe leather costs for consumers in the UK.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Rising inflation reduces the purchasing power of consumers<br>• As prices increase, consumers are likely to spend more time shopping around for better deals and discounts to stretch their budgets<br>• This involves visiting multiple stores or browsing various online retailers thereby increasing shoe leather costs<br>• With inflation rising to 4% in December 2023, consumers may find themselves making more frequent trips to banks<br>• The effect of rising inflation on shoe leather costs is particularly significant for low-income consumers<br>• These individuals may not have easy access to banking services<br>• This makes them more vulnerable to the negative impacts of inflation and significantly increases shoe leather costs for consumers | **(6)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess how effective monetary policy might be in decreasing unemployment for a country such as France.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• With GDP growth expected to remain low, reducing interest rates could further stimulate economic activity, leading to business expansion and job creation, thereby potentially reducing the high level of unemployment<br>• As consumer spending is expected to improve in the coming years, lower interest rates would increase this effect by making borrowing cheaper, stimulating demand for goods and services, and hence encouraging firms to hire more employees<br>• Reducing interest rates from 4.5% would make loans cheaper for firms to invest in expansion and job creation leading to further economic growth<br>• Despite a weak outlook for China, lowering interest rates could weaken the currency, making French exports more competitive, supporting industries reliant on exports and their employment rates<br><br>**AO4**<br>• However, France's significant trade relations with Germany and reliance on global markets like China mean external economic slowdowns could dampen the effectiveness of monetary policy in reducing unemployment<br>• The high level of unemployment suggests there may be deeper structural issues in the labour market that monetary policy alone cannot address<br>• With the current rate at 4.5%, there might be limited room for the ECB to lower rates further, especially if they need to balance other economic objectives such as inflation, limiting the impact on employment<br>• Monetary policy changes often have a lagged effect on the economy, meaning any potential benefits in reducing unemployment might not materialise quickly<br>• Lower interest rates might result in capital flowing out of France seeking higher returns elsewhere, which could reduce domestic investment and job creation | **(9)** |

## Type MS · Effects of inflation and deflation, including menu and shoe leather costs

### Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 16 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 17 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

| | | |
|---|---|---|
| | Answer | |
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** They reduce overall pollution by setting emission limits<br><br>A is not correct because pollution permits are designed to cap emissions at a certain level<br>C is not correct because firms must adhere to the limits set by pollution permits or face penalties<br>D is not correct because pollution permits encourage the use of clean energy to reduce the need for permits | **(1)** |

| Question Number | An economy has a national output of €300bn and its current account deficit is €15bn. What is the current account deficit as a percentage of national output?<br><br>**Answer** | Mark |
|---|---|---|
| **3(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** 5%<br><br>A is not correct because this is €15bn/€300bn<br>B is not correct because this is €300bn - €15bn/100<br>D is not correct because this is €300bn/€15bn | **(1)** |

| Question Number | Explain **one** reason why some people might suffer from structural unemployment in a country such as China.<br><br>**Answer** | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• One reason is having the wrong skills **(1).** Young graduates have skills for higher skilled jobs rather than lower skilled jobs **(1)** therefore they cannot find jobs that match their qualifications **(1)**<br><br>Accept any other appropriate response | **(3)** |

# Type MS · Effects of inflation and deflation, including menu and shoe leather costs

## Answer 17 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• With inflation at 4%, the cost of inputs such as raw materials, labour and energy is likely to increase for small firms<br>• To maintain margins, these firms might need to pass these costs onto consumers, necessitating regular price updates and thereby increasing menu costs<br>• With inflation rising, firms may need to adjust their prices more frequently to keep up with increasing costs for raw materials, labour and other expenses<br>• This means more frequent updates to menus, price lists and advertising materials leading to higher menu costs<br>• This can be particularly challenging for small firms with limited resources | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 17 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Reducing income tax rates to 23% and 33% may motivate people to work additional hours or seek better-paying jobs, knowing they will keep more of their income<br>• More favourable tax conditions might encourage those not currently working, including young people, to enter the workforce<br>• With less income going to taxes, individuals might be willing to work more hours or take on additional jobs, increasing overall labour supply<br>• Lower taxes might attract skilled workers from abroad boosting productivity and innovation in the Italian workforce<br>• As firms benefit from individuals having more disposable income and potentially investing, this can lead to job creation, further encouraging employment<br><br>**AO4**<br>• However, reducing taxes might lead to a significant loss in government revenue, affecting public services and investment<br>• Less tax revenue could mean cuts to crucial public services like healthcare, education or infrastructure affecting the quality of life for the citizens of Italy<br>• The higher rate of income tax remains at 43% meaning those with the highest incomes may not feel incentivised to work harder<br>• While there might be immediate boosts to the economy, the long-term effects of reduced government revenue could lead to economic challenges<br>• Other factors like job availability, wages, working conditions and childcare may have a more substantial impact on employment decisions than tax rate changes | **(9)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 17 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 17 of 19 · Question 3 part d · 6 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

| Question Number | Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 1 of 7 · find part a in this mark scheme extract

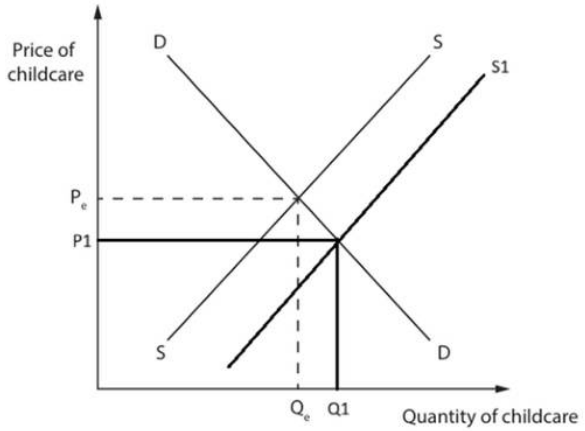
| | | |
|---|---|---|
| 3(a) | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** The cost to consumers of looking for the lowest price of mobile phones<br><br>A is not correct because this describes menu costs<br>B is not correct because this is a cost of production<br>C is not correct because this is a cost of shopping online | **(1)** |

| **Question Number** | Calculate the trade balance between the UK and Spain in 2023.<br><br>**Answer** | **Mark** |
|---|---|---|
| 3(b) | **AO2 1 mark**<br><br>The only correct answer is:<br>**C** A trade deficit of £24.3bn<br><br>A is not correct because this is imports – exports<br>B is not correct because this is exports + imports and assumes a surplus<br>D is not correct because this is exports + imports and assumes a deficit | **(1)** |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 2 of 7 · find part a in this mark scheme extract

| Question Number | Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of supply, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  <br> | (3) |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

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| Question Number | With reference to the data above and your knowledge of economics, analyse why fewer tariffs and quotas have resulted in an increase in globalisation.<br><br>**Indicative content** |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Fewer tariffs and quotas reduce the cost of importing and exporting goods, making international trade more accessible and widespread<br>• Lower trade barriers encourage countries to specialise in producing goods where they have an advantage, increasing global trade efficiency<br>• The reduction in tariffs and quotas encourage competition among businesses, leading to innovation and the spread of new technologies across different countries<br>• Consumers benefit from a wider variety of goods and services at lower prices, enhancing global interconnectedness<br>• Easier access to international markets allows businesses to expand globally, creating stronger economic ties between countries |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 4 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 5 of 7 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the advantages of multinational corporations (MNCs) for the countries in which they operate.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• MNCs such Levi Strauss & Co can create employment opportunities, improving the standard of living for workers in countries where they operate<br>• Worker well-being programmes can enhance the health, education and financial stability of employees, leading to a more productive workforce<br>• MNCs often bring advanced technology and management practices to host countries, contributing to economic development and skill enhancement<br>• Many MNCs invest in infrastructure such as roads in the countries in which they operate in order to get goods to market<br>• The presence of MNCs can increase tax revenues for the host country's governments, which can be used for public services and infrastructure development<br>• MNCs may engage in sustainable practices, such as water conservation and reducing greenhouse gas emissions, benefiting the local environment<br><br>**AO4**<br><br>• However, MNCs might prioritise profits over the welfare of local workers, potentially leading to poor working conditions despite well-being programmes<br>• Local businesses may struggle to compete with large MNCs, which can limit the growth of domestic industries<br>• MNCs could exploit natural resources or contribute to environmental degradation, despite some efforts at sustainability<br>• The economic benefits of MNCs might be unevenly distributed, with most profits flowing back to the MNC's home country rather than staying in the host country<br>• MNCs might influence local governments and policies in ways that favour their interests over those of the local population<br>• Some MNCs might move profits abroad rather than invest in the countries in which they operate |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 6 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 18 of 19 · Question 3 part a · 1 mark

2025 NOV · Paper 02 · extract 7 of 7 · find part a in this mark scheme extract

| Question Number | Calculate, to **two** decimal places, the **total value of UK exports** to France in euros (€bn) in 2023. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 19 of 19 · Question 4 part b · 6 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

| | Answer | |
|---|---|---|
| **4(a)** | **AO2 2 marks**<br><br>Award 1 mark for showing the calculation.<br><br>251,000 x 100 **(1)**<br>9,210,000<br><br>Award 1 mark for the correct answer.<br><br>= 2.73% **(1)**<br><br>Award 2 marks if the percentage change of 2.73% is accurately calculated with or without workings shown<br><br>Award 1 mark if % is missing i.e. 2.73 with or without calculations shown<br><br>Do not award marks for formula | **(2)** |



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Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 19 of 19 · Question 4 part b · 6 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands.<br>Indicative content | Mark |
|---|---|---|
| **4(b)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Inflation is a sustained increase in the general price level in an economy<br>• Figure 5 shows that inflation has steadily increased since January 2021 when it was 1.6% to 5.2% in November 2021<br>• This is a significant increase in the rate of inflation over a short period of time<br>• Higher rates of inflation in the Netherlands could result in the rising price of its exports<br>• This could result in lower demand for exports resulting in a negative impact on the current account<br>• This could be the case if inflation rates are much lower in other countries compared to the Netherlands<br>• Firms that export may struggle to survive with higher rates of inflation | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

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Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 19 of 19 · Question 4 part b · 6 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands.<br>Indicative content | Mark |
|---|---|---|
| **4(c)** | **AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)**<br><br>**AO2 and AO3**<br>• Business activity can damage the environment as it has done in Ijmuiden in the Netherlands causing poor air quality in the area from dust<br>• Pollution permits can be used as a market based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create<br>• Pollution permits involve giving firms such as Tata Steel a legal right to pollute up to a certain amount<br>• If a steelworks produces less pollution/waste than it is permitted to do so it can sell its pollution permits to other steel manufacturers<br>• Permits therefore create a financial incentive to pollute less because firms such as Tata Steel can then sell their excess permits to other firms<br>• It can be a good way to reduce pollution, using the incentives of the market<br>**AO4**<br>• However, in practice, pollution permits can be difficult to implement<br>• It is difficult to know how many permits to give out to firms in the Netherlands<br>• If the government is too generous in the level of pollution permits it issues to firms such as Tata Steel, there will be little pollution reduction<br>• If the government is too strict in the amount of pollution permits it issues to firms such as Tata Steel it may complain it adversely affects output because they cannot comply and because Tata Steel is a major employer and provides many jobs, unemployment may rise<br>• There are alternatives to pollution permits which may be more effective such as fining the steelworks on the amount of waste produced or using taxation which could then be used to tackle air pollution caused by the steelworks<br>• A combination of measures may be the most effective way to protect the environment | **(12)** |

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Type MS · Effects of inflation and deflation, including menu and shoe leather costs

Answer 19 of 19 · Question 4 part b · 6 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4). |
| **Level 2** | 5–8 | • Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4). |
| **Level 3** | 9–12 | • Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4). |

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